

Principles of Marketing



Chapter#4

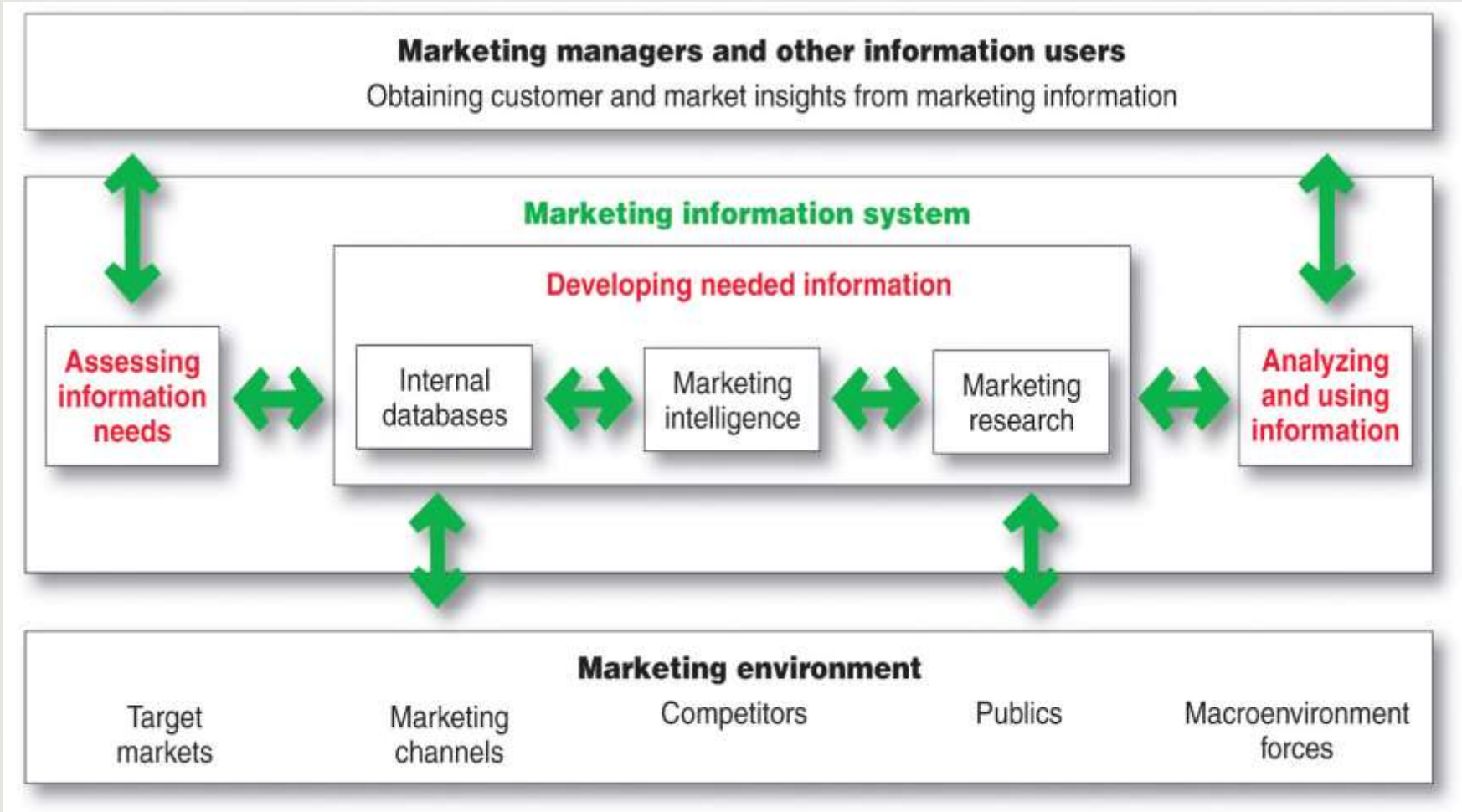
Managing Marketing Information to Gain
Customer Insights

**Money is a by-product
of success**

Marketing Information System (MIS)

∞ People, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers.

Marketing Information System



Purpose of MIS

- ❧ Assessing decision makers' information needs
- ❧ Developing needed information
- ❧ Distributing information to the users

Steps of MIS

- ❧ Assessing the Marketing Information Needs
- ❧ Developing the Marketing Information
- ❧ Analyzing Marketing Information
- ❧ Distributing and using Marketing Information

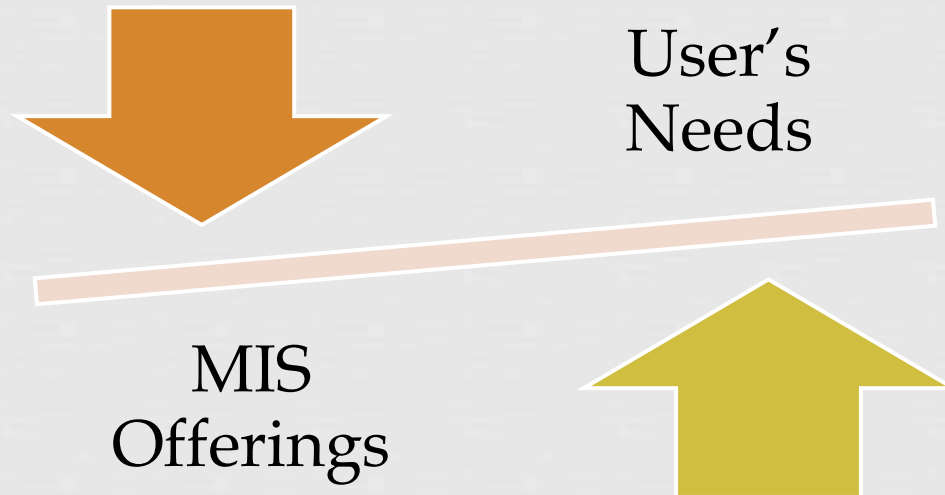
Assessing Marketing Information Needs

MIS provides information to the company's marketing and other managers and external partners such as suppliers, resellers, and marketing service agencies

Assessing Marketing Information Needs

Characteristics of a Good MIS

- ⌘ Balancing what the information users would like to have against what they need and what is feasible to offer



Developing Marketing Information

Marketers obtain information from

Internal data

Marketing intelligence

Marketing research

Internal Data

Internal databases are electronic collections of consumer and market information obtained from data sources within the company network

Marketing Intelligence

Marketing intelligence is the systematic collection and analysis of publicly available information about consumers, competitors, and developments in the marketplace.

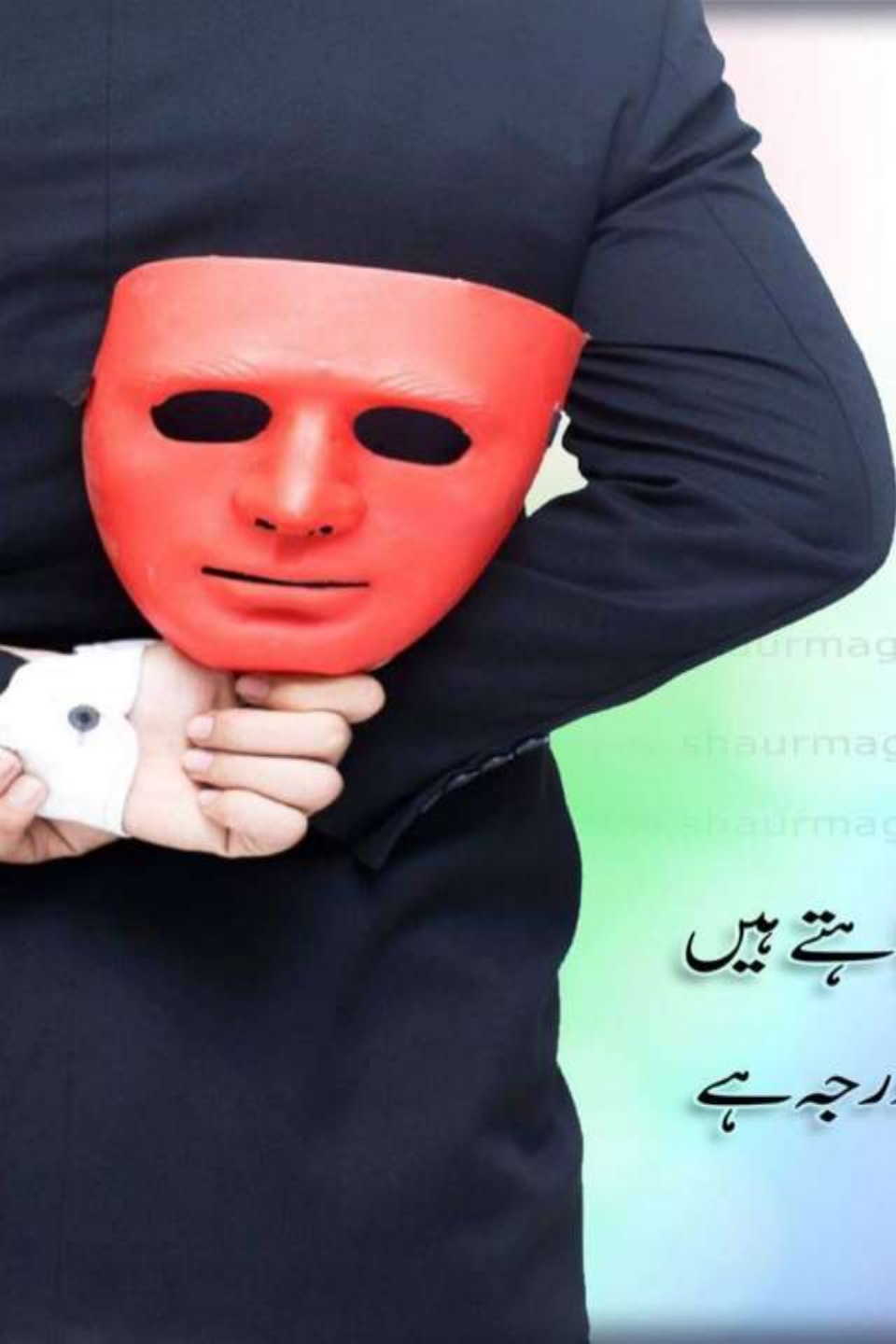
- 👍 Competitors
- 👍 Suppliers
- 👍 Resellers
- 👍 Customers
- 👍 Published Information

Marketing Research

Marketing research is the systematic design, collection, analysis, and reporting of data **relevant** to a specific marketing situation facing an organization.

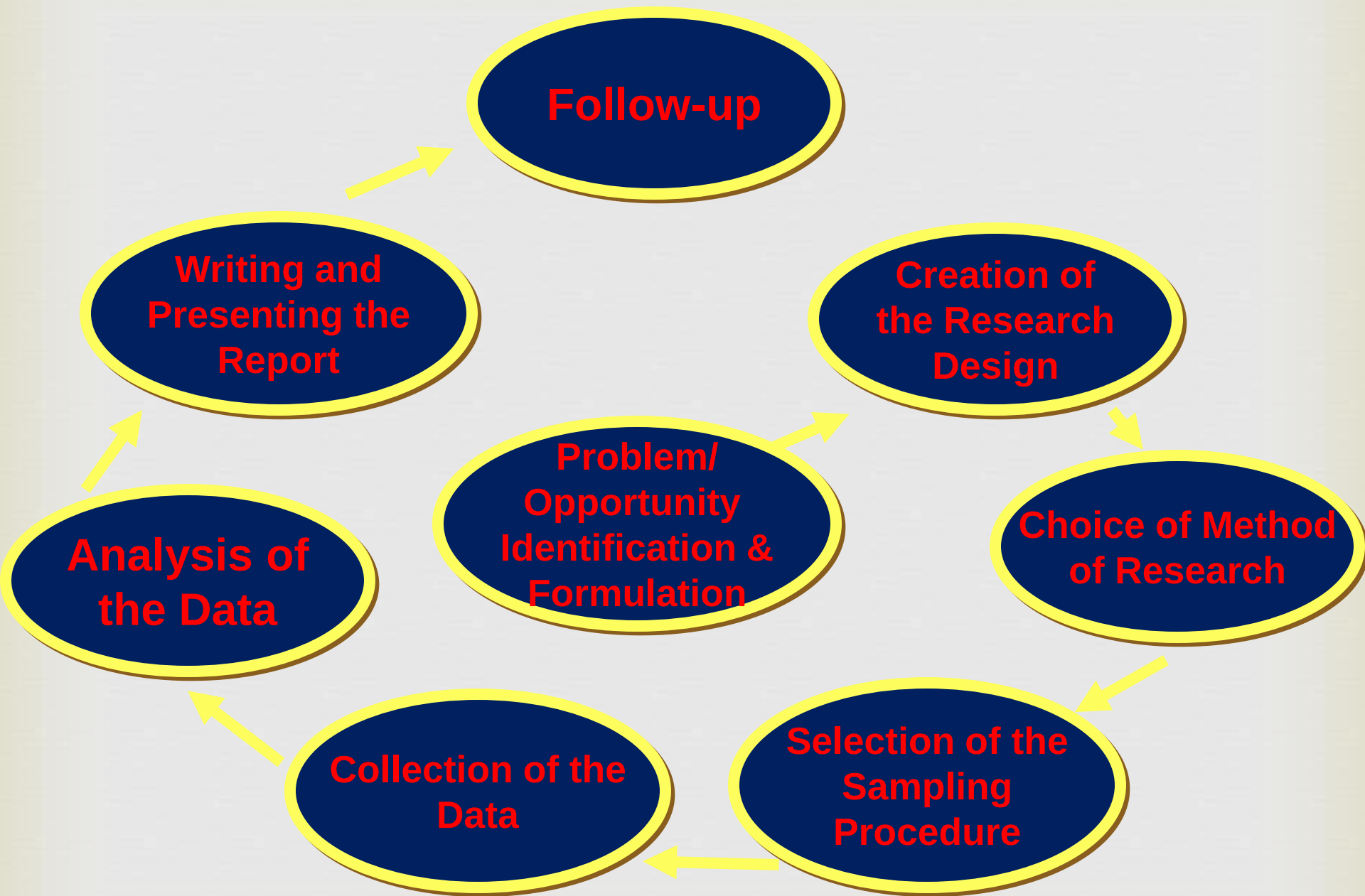
Why Research?

- ❧ Provides information for aid in making business related decisions
 - Identify opportunities
 - Generate & refine actions
- ❧ Systematic & objective process
 - ❧ designing, gathering, analyzing & reporting information
 - ❧ used to solve a specific problem
- ❧ Helps reduce risk inherent in decision making



منافقت

ہم لوگ نیک بننا نہیں
صرف نیک دکھنا اور نیک کہلانا چاہتے ہیں
اور یہ منافقت کا سب سے اعلیٰ درجہ ہے



Steps in the Marketing Research Process

**Defining the
problem and
research
objectives**



Developing the
research plan
for collecting
information



Implementing the
research plan—
collecting and
analyzing the data



Interpreting and
reporting
the findings

Step 1: Problem Definition and the Research Objectives



The research process **begins** with the recognition of a marketing problem or opportunity.

As changes occur in the firm's external environment, marketing managers are faced with the questions, “**Should we change** the existing marketing mix?” and, “If so, **how?**”

Role of the Marketing Researcher



The first responsibility of the researcher is to work with the marketing manager to clearly articulate the management decision problems whose symptoms have been observed and then to define precisely the marketing research problem.

Definition of Research Objectives



These objectives are stated in terms of the precise information necessary to answer the marketing research problem/opportunity.

Objectives must be as specific and unambiguous as possible. The entire research effort is geared toward achieving the objectives.

Step-2

Developing the Research Plan



- 👍 The **research design is the plan** to be followed **to answer the research objectives or hypotheses**.
- 👍 There is no single, best research design. Instead, the investigator faces an array of choices, each with certain advantages and disadvantages.
- 👍 Research objectives guide the determination of **specific information needs**.
- 👍 Research proposals outline the **type of data needed** and the **research plan**.
 - 👍 Primary data
 - 👍 Secondary data

- ❧ **Secondary data** consists of information that **already exists somewhere**, having been collected for another purpose.
- ❧ **Primary data** consists of information gathered for the special research plan.

Exploratory Research



- ❧ Exploratory research is usually small-scale research undertaken to define the exact nature of the problem and to gain a better understanding of the environment within which the problem has occurred.

Descriptive Research



- ❧ Implicit in descriptive research is the fact that management already knows or understands the underlying relationships of the problem area.
- ❧ Descriptive studies are limited to answering who, what, when, where, and how questions.

e.g. Market potential for a product

Causal Research



✧ In causal studies the researcher investigates whether one variable causes or determines the value of another variable.

A **dependent variable** is a variable expected to be predicted or explained. An **independent variable** is a variable in an experiment that the **market research can**, to some extent, **manipulate, change, or alter**.

Choosing a Basic Method of Research



- 👍 A research design, either descriptive or causal, is chosen according to a project's objective.
- 👍 The next step is to select a **means of gathering data** (or research methods).

Basic Research Methods/ Approaches



Survey

- Research in which an interviewer interacts with respondents (except in mail surveys) to obtain facts, opinions, and attitudes.

Observation

- Descriptive research that monitors respondent's actions without direct interaction.

Ethnographic research

- Involves sending trained observers to watch and interact with consumers in their natural environment

Basic Research Methods/ Approaches



Experiments

- œ The objective of experiments is to measure causality. Cause-and-effect relationship.
- œ An experiment is distinguished by the researchers changing one or more variables -- price, package, design while observing the effects of those changes on another variable (usually sales).

Contact Methods



- ❧ Mail questionnaires
- ❧ Telephonic Interview
- ❧ Personal interview
 - ❧ Group interview...Focus group interview
- ❧ Online Research

Sampling plan



Sample is a segment of the population selected for marketing research to represent the population as a whole.

- Who is to be surveyed? (**sampling unit**)
- How many people should be surveyed? (**sample size**)
- How should the people be chosen? (**sampling procedure**)

Sampling plan-Types of Samples



Probability Sample	
Simple random sample	Every member of the population has a known and equal chance of selection
Stratified random sample	The population is divided into mutually exclusive groups and random samples are drawn from each group
Cluster (area) sample	The population is divided into mutually exclusive groups and the researcher draws a sample
Nonprobability Sample	
Convenience sample	The researcher selects the easiest population members
Judgment sample	The researcher uses his/her judgment to select population members
Quota sample	The researcher finds and interviews a prescribed number of people in each of several categories

Research Instruments



❧ Questionnaires

- ❧ Include open-ended and closed-ended questions
- ❧ Phrasing and question order are key

❧ Mechanical instrument

- ❧ People meters
- ❧ Checkout Scanners
- ❧ Neuro-Marketing

Step-3

Implementing the Research Plan



Collecting the Data

Analyzing the Data



- 👍 After the data have been collected, the next step in the research process is data analysis.
- 👍 The **purpose of data analysis** is to **interpret and draw conclusions from the data** that has been **collected**.

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graph LR; A((Key Issues)) --- B[Is the sample representative?]; A --- C[Is the data reliable?]; A --- D[Is the data valid?]; A --- E[Are the statistical techniques appropriate?];
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Key Issues

Is the sample representative?

Is the data reliable?

Is the data valid?

**Are the statistical techniques
appropriate?**

Step-4

Interpretation and Reporting of Findings



- ❧ After data analysis is completed, the researcher must prepare the report and communicate the conclusions and recommendations to management.
- ❧ The research will ordinarily be required to present both written and oral reports on the project.

Distributing and Using Marketing Information



Information distribution involves entering information into databases and making it available in a time-usable manner

- ❧ **Intranet** provides information to employees and other stakeholders
- ❧ **Extranet** provides information to key customers and suppliers



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